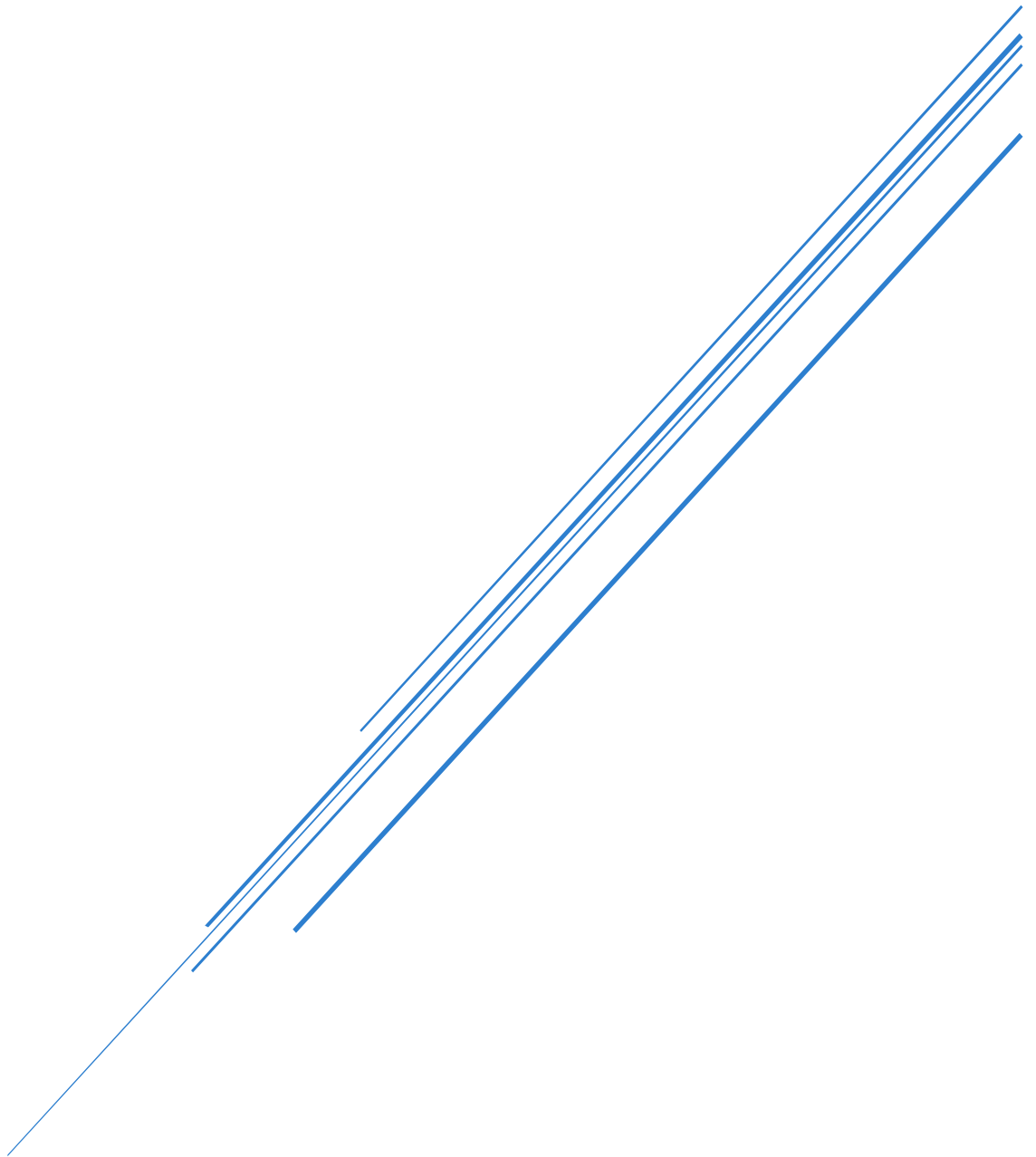


REFUND-(AR)

Oracle Fusion



Presented By: Ibrahim Alaa Elfiqy
Oracle Financial Consultant

Refund Process Overview

Refund is a transaction in Oracle Fusion Accounts Receivable (AR) that enables the return of funds to customers with an outstanding credit balance.

Generally

Customer Refunds can be triggered through several primary types:

Credit Memo

Overpayment

Unapplied Receipt

Note: This document is dedicated solely to demonstrating the business cycle and configurations via the Credit Memo case.

Configuration Steps

To enable and execute the refund process successfully, the following configuration steps must be completed in sequence:

Step 1: Define Receivable Activity.

Step 2: Set Up Approval Limits.

Step 3: Configure Receivables System Options.

Step 4: Manage Business Unit Location

1-Create Receivable Activity for Refund

-Navigate to Setup and Maintenance

-Receivables

-Manage Receivable Activities

-Click Create

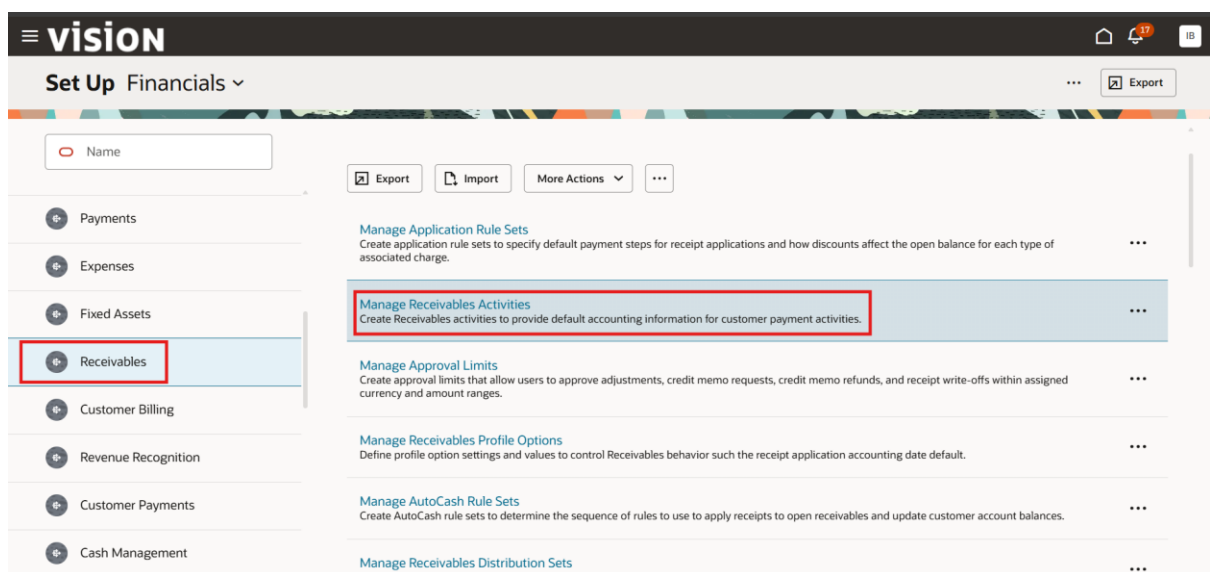
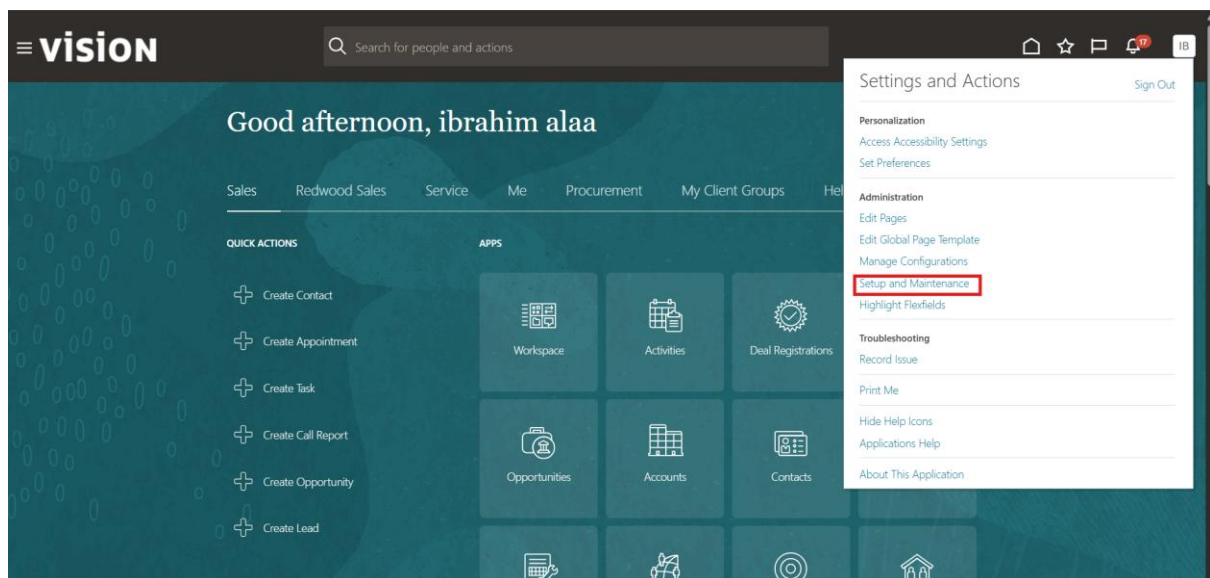
-Enter the Activity Name and Description

-Select Activity Type = Refund

-Define the required General Ledger Accounts

-Mark the activity as Active

-Click Save and Close



vision
Manage Receivables Activities

Search

Business Unit:
 Name:
 Description:
 Activity Type:

Active:
 GL Account Source:
 Tax Rate Code Source:
 Distribution Set:

View

Name	Description	Activity Type	Active	GL Account Source	Tax Rate Code Source	Activity GL Account	Business Unit
No search conducted.							

vision
Edit Receivables Activity

Business Unit:
 * Name: PWC Refund Activity
 Description: Refund Activity

Activity Type: Refund
 Active: ☒
 Context Value:

Accounting

GL Account Source: Activity GL account
 * Tax Rate Code Source: None

* Activity GL Account: 10-13078-00-10
 Distribution Set:

2-Create Approval Limit

Note:

The approval limit must be assigned to a different user than the user who created the refund transaction.

- Navigate to Setup and Maintenance

-Receivables

-Manage Approval Limits

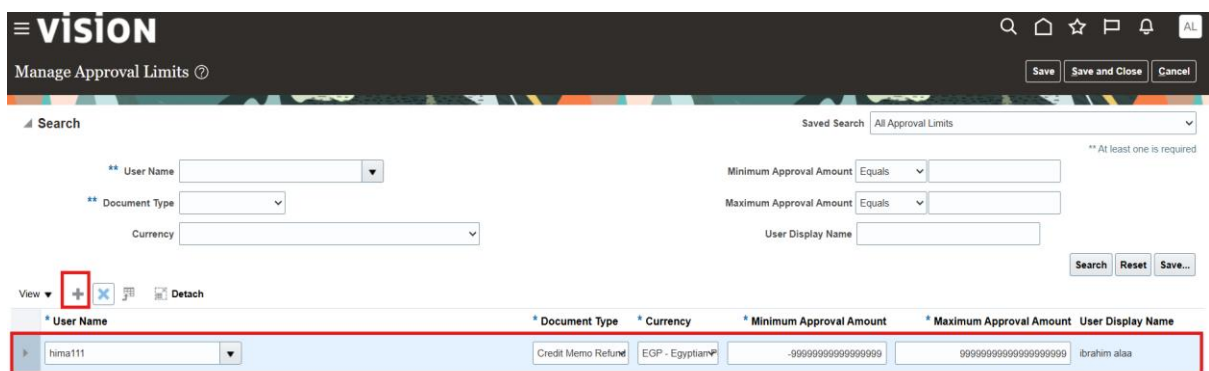
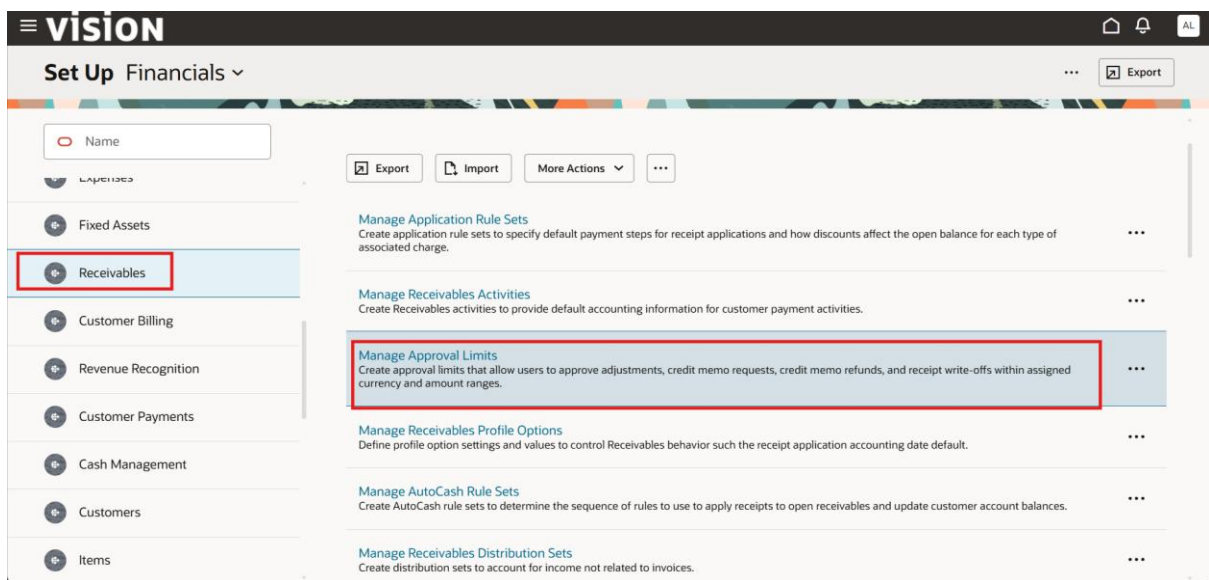
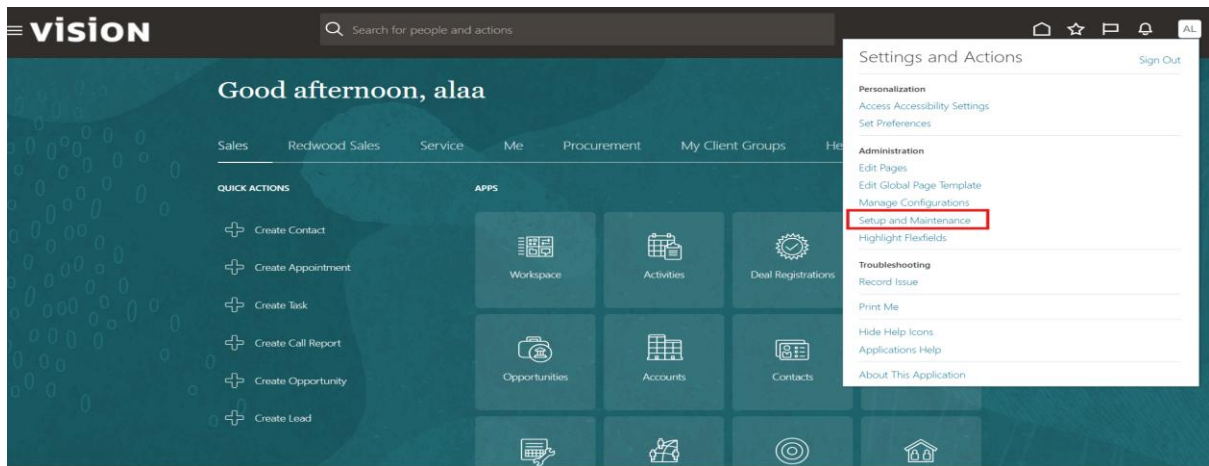
-Create

-Select User

-Select Transaction Type = Refund

-Enter Approval Limit Amount

-Save and Close



3-Define Minimum Refund Amount

-Setup and Maintenance

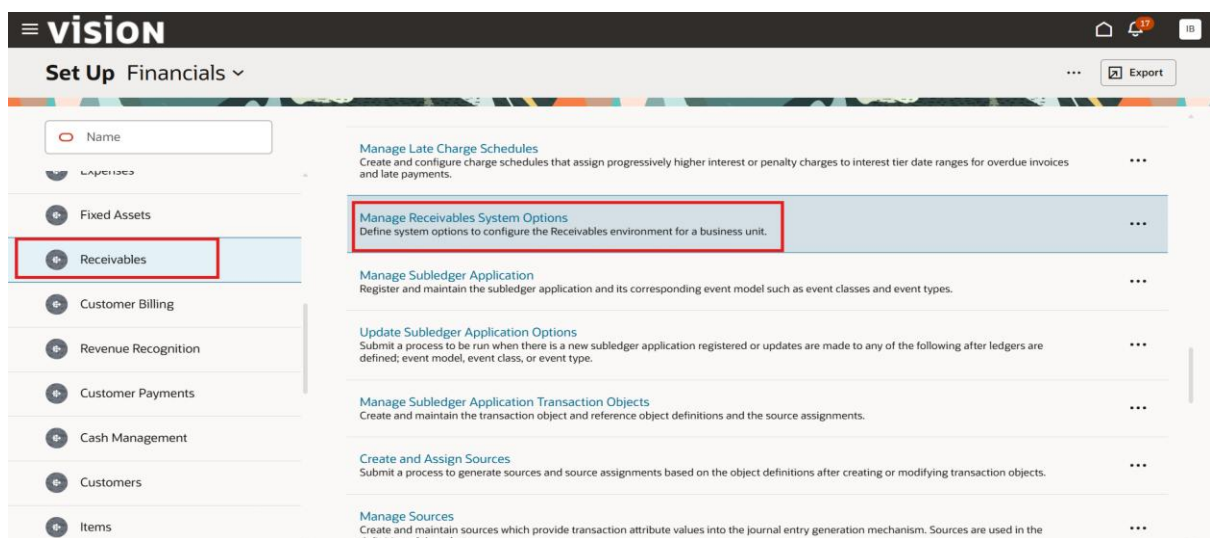
-Receivables

-Manage Receivables Options

-Search by Business Unit

-Enter Minimum Refund Amount

-Save and Close



vision Set Up Financials

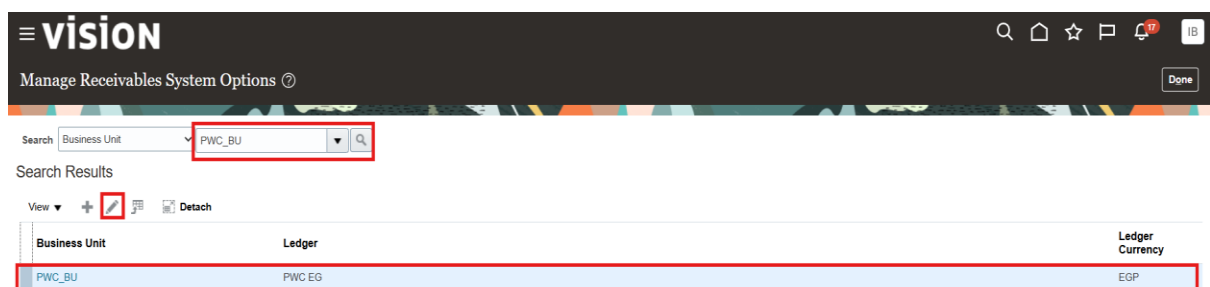
Search: Name

Left Sidebar:

- Fixed Assets
- Receivables**
- Customer Billing
- Revenue Recognition
- Customer Payments
- Cash Management
- Customers
- Items

Main Content Area:

- Manage Late Charge Schedules
- Manage Receivables System Options** (highlighted)
- Manage Subledger Application
- Update Subledger Application Options
- Manage Subledger Application Transaction Objects
- Create and Assign Sources
- Manage Sources



vision Manage Receivables System Options

Search: Business Unit PWC_BU

Search Results

Business Unit	Ledger	Ledger Currency
PWC_BU	PWC EG	EGP

vision

Edit System Options

Save Save and Close Cancel

Business Unit PWC_BU

Ledger PWC_EG

Ledger Currency EGP

Billing and Revenue

Cash Processing

AutoCash Rule Set

Oldest transaction first

Match Receipts By 1

Transaction Number

Match Receipts By 2

Match Receipts By 3

Match Receipts By 4

AutoMatch Rule Set

Days to AutoApply a Receipt

Use AutoApply

Require billing location for receipts

Allow payment of unrelated transactions

Enable channel revenue management integration

From Write-Off Limit per Receipt

-99,999,999,999

To Write-Off Limit per Receipt

999,999,999,999

Minimum Refund Amount

0.01

AutoCash Tolerance Amount

Chargeback Due Date

Open invoice due date

Allow payment deletion

Context Value

Regional Information

4-Manage Business Unit Location

-Organization Structures

-Manage Business Units

-Add Location

-Save and Close

vision

Set Up Financials

Export

Name

Initial Users

Enterprise Profile

Legal Structures

Financial Reporting Structures

General Ledger

Organization Structures

Resources

Workforce Structures

Organization Structures

Setup Tasks

Export

Import

More Actions

Manage Business Unit

Create and maintain information on units of an enterprise to allow for flexible implementation, to provide a consistent entity for controlling and reporting on transactions, and to be an anchor for the sharing of reference data sets across applications.

Assign Business Unit Business Function

Assign business functions to be performed by a business unit, such as customer invoicing and order capture.

PWC_BU

Manage Business Unit Data Access for Users

Manage business unit data access for user provisioned roles, an example would be to assign a business unit to a user with the Accounts Receivable Manager job role.

PWC_BU

Manage Business Unit Set Assignment

Assign reference data, which represents business rules and policies, to business units.

PWC_BU

Manage Service Provider Relationships

vision

Edit Business Unit

Save Save and Close Cancel

*Name PWC_BU

Manager Ibrahim alaa

Active

Location Frankfurt

Default Set COMMON

-The refund configuration is now ready for use.

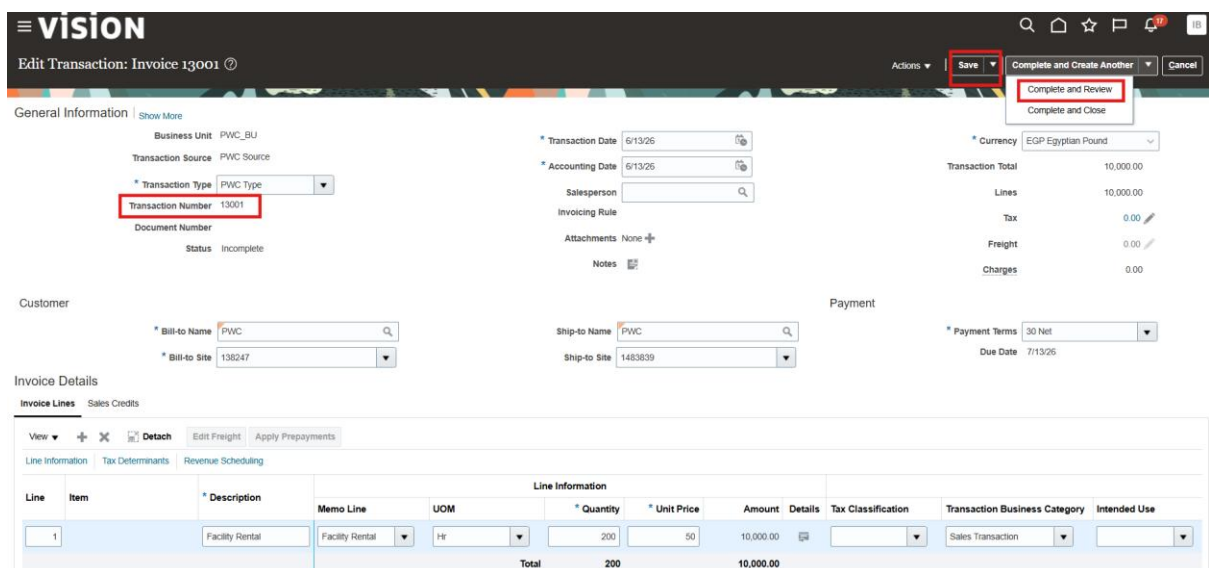
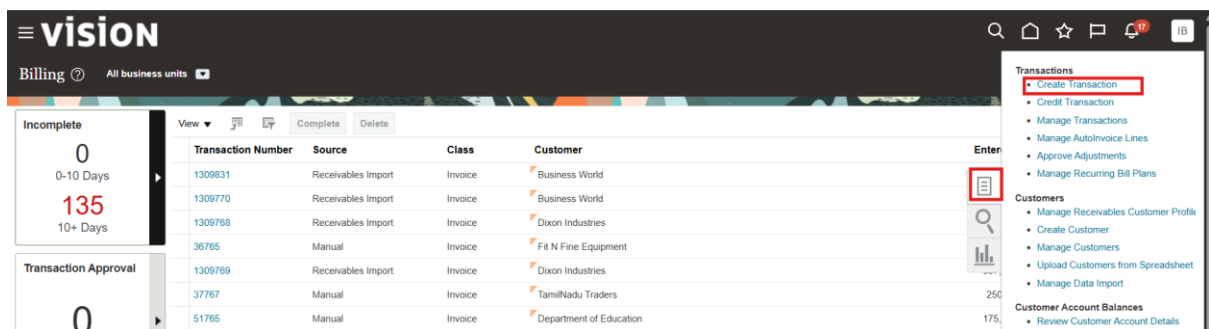
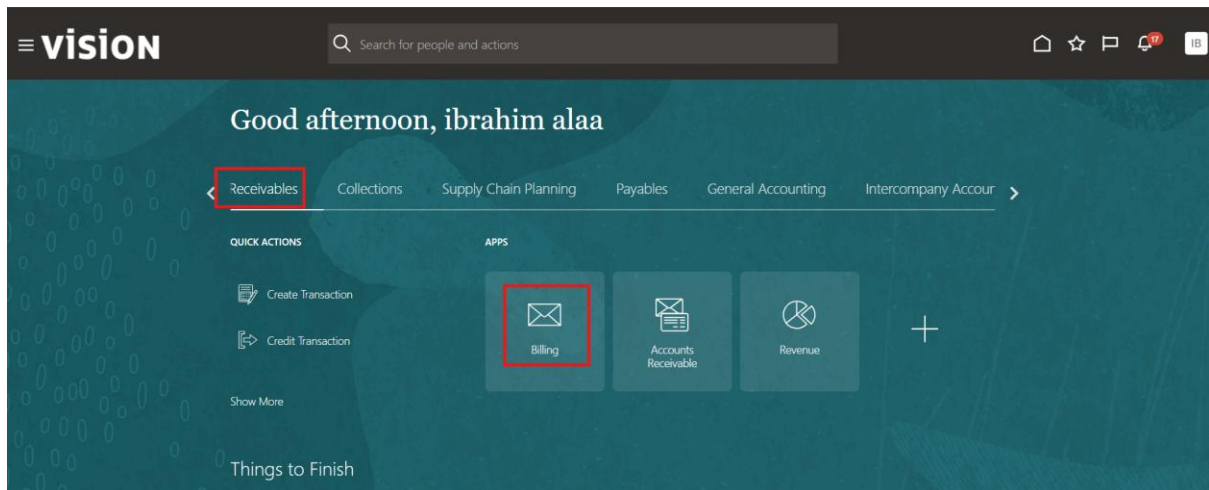
Next, create a customer transaction to proceed with the refund process.

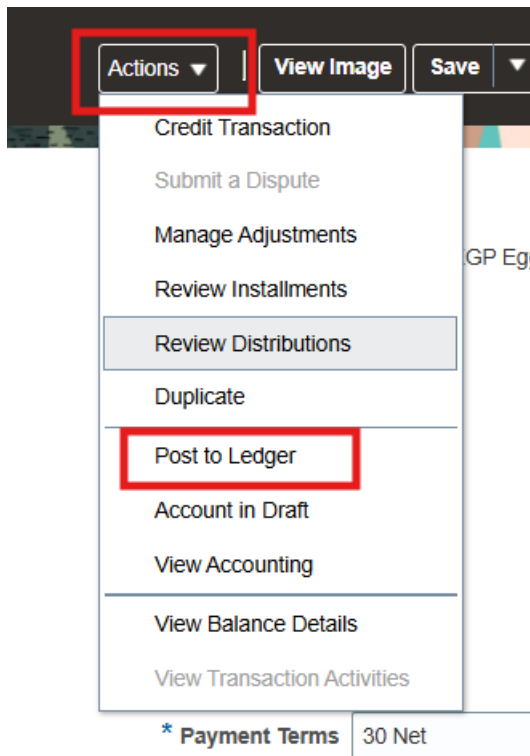
- Homepage> Receivables

-Billing

-Task List

-Create Transaction





Accounting Impact of transaction Validation

Accounting Lines: Invoice 13001						×
Ledger PWC EG		Date 6/13/26		Status Final		
View ▾		View T-Accounts	Detach	Override Account		
Line		Event	Account	Class	Accounted (EGP)	
					Debit	Credit
1	▶	Invoice Created	10-13005-00-10	Receivable	10,000.00	
2	▶	Invoice Created	10-40110-00-10	Revenue		10,000.00
						Done

-Create Receipt and Apply It to the Transaction

After creating the customer transaction, create a receipt and apply it in full to the transaction.

- Homepage> Receivables

-Account Receivables

-Task List

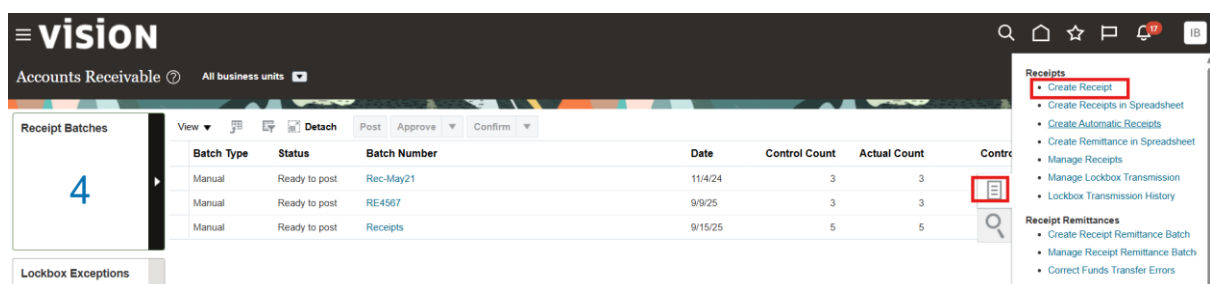
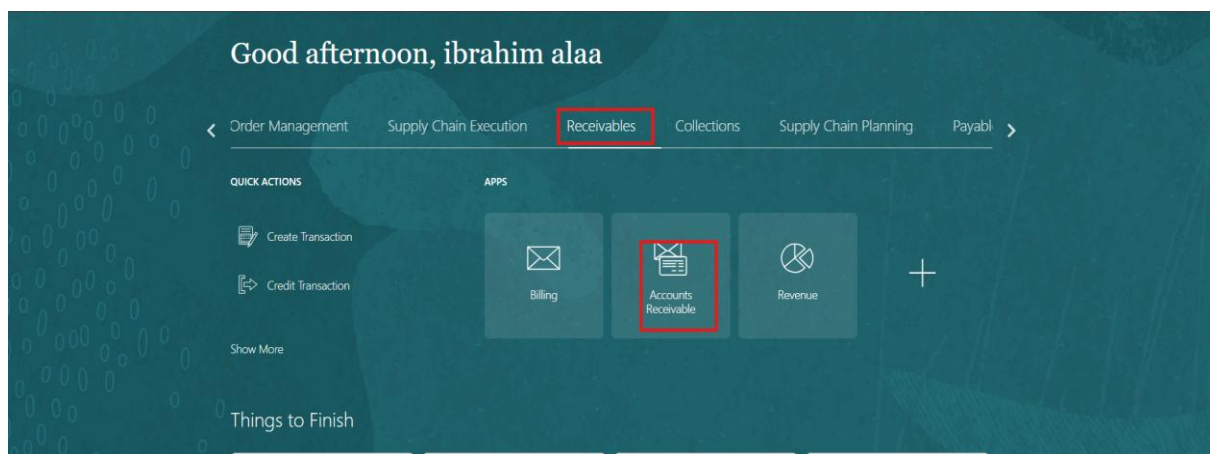
-Create Receipt

-Enter Receipt Details

-Apply Receipt to Transaction

-Apply Full Amount

-Save > post to Ledger



vision

Create Receipt ?

Submit and Create Another

Cancel

Submit

Submit and Apply Manually

Submit and AutoApply Now

Receipt Type

Standard

Status

New

* Business Unit

PWC_BU

* Receipt Method

PWC Remitted

* Receipt Number

147

* Currency

EGP Egyptian Pound

* Entered Amount

10,000.00

Accounted Amount

10,000.00

Tax Rate Code

Receivables Specialist

Comments

* Receipt

* Accounting

Maturity Date

6/13/26

Postmark Date

mm/dd/yy

Attachments

None

Structured Payment Reference

Remittance Bank

* Name

PWC Bank

* Account

PWC Bank Account

* Deposit Date

6/13/26

* Branch

PWC DI

Currency

EGP

Allow override

Customer

Account Number

134135

Site

138247

Bank

Name

PWC

Customer Match By

Transaction Number

Bank Branch

Taxpayer Identification Number

Customer Site Match By

Bank Account

Edit Receipt: 147 ?

Actions

Save

Save and Close

Cancel

Receipt Information

Show More

Status

Remitted

Business Unit

PWC_BU

Receipt Type

Standard

Receipt Method

PWC Remitted

Receipt Number

147

Receivables Specialist

Attachments

None

Customer Account Number

134135

Customer Name

PWC

Customer Site

138247

Receipt Date

6/13/26

Accounting Date

6/13/26

Comments

Reverse

Delete

Post to Ledger

Account in Draft

View Accounting

Account Number

10,000.00

Total Applied Amount

10,000.00

On-Account Amount

0.00

Unapplied Amount

0.00

Exchange Gain or Loss

0.00

Additional Information

Receipt Details 0.00 EGP ?

Application

History

Activity

Actions

View

Detach

Add Application

Unapply Application

Add Open Receivables

View Remittance Reference Detail

View Exception Trends

Application Type

* Application Reference

Amount Due

* Applied Amount

Discount

Exception Reason

* Application Date

* Accounting Date

Transaction

13001

0.00 EGP

10,000.00

0.00

6/13/26

6/13/26

Transaction 13001: Details

Receipt Accounting Entry

Accounting Lines: Receipt 147

Ledger PWC EG

Date 6/13/26

Status Final

View



View T-Accounts



Detach

Override Account

Line	Event	Account	Class	Accounted (EGP)	
				Debit	Credit
1	Receipt Created	10-13073-00-10	Remitted cash	10,000.00	
2	Receipt Created	10-13074-00-10	Unapplied cash	0.00	
3	Receipt Created	10-13005-00-10	Receivable		10,000.00

Done

-Create Credit Memo for the Transaction

Now create a Credit Memo against the customer transaction to initiate the refund process.

-Task List

-Credit Transaction

-Search for the Transaction

-Enter Credit Memo Amount (Negative Value)

-Save >Complete and Review

-Post to Ledger

The screenshot shows the Oracle Billing interface. On the left, there are filters for 'Incomplete' (0) and 'Transaction Approval' (0). The main table lists transactions with columns: Transaction Number, Source, Class, and Customer. The table contains several rows of data, including transactions from Business World, Dixon Industries, and the Department of Education. On the right, there is a sidebar with a 'Transactions' menu where 'Credit Transaction' is highlighted. Below it are sections for 'Customers' and 'Customer Account Balances'.

Search and Select: Original Transaction Number

Search

Advanced

** At least one is required

** Transaction Source PWC Source

** Transaction Number 13001

** Transaction Date m/d/yy

Currency

** Bill-to Customer

Entered Amount

Search Reset

Transaction Number	Transaction Source	Bill-to Customer	Entered Amount	Transaction Date	Currency
13001	PWC Source	PWC	10000	6/13/26	EGP

OK Cancel

ORACLE
Credit Transaction

EGP - Egyptian Pound

Save Complete and Close Cancel

Complete and Review

Original Transaction

Number 13001
Business Unit PWC_BU

Customer PWC
Customer Account 134135

Original Amount 10,000.00
Activity 10,000.00
Current Balance 0.00

Credit Memo

Transaction Source PWC Source
Transaction Type PWC Type CR
Transaction Number 14003
Document Number
Transaction Date 6/13/26
Accounting Date 6/13/26
Credit Reason

Customer Reference
Reference
Attachments None
Notes
Intercompany
Special Instructions

Comments
Context Value
Exclude From Netting
Delivery Date for Tax Point Date
Regional Information
Context Value

Transaction Amounts

Credit Entire Balance Credit Lines Edit Distributions Automatically derive tax from lines

Section	Original Amount	Credit Percentage	Amount	Current Balance	Remaining Balance
Line	10,000.00	20	-2,000.00	0.00	-2,000.00
Tax	0.00			0.00	0.00
Freight	0.00			0.00	0.00
Total	10,000.00	20	-2,000.00	0.00	-2,000.00

Review Transaction: Credit Memo 14003

Actions View Image Save Incomplete Cancel

General Information Show More

Business Unit PWC_BU
Transaction Source PWC Source
Transaction Type PWC Type CR
Transaction Number 14003
Document Number
Status Complete
Original Transaction Number 13001

Transaction Date 6/13/26
Accounting Date 6/13/26
Credit Reason
Salesperson
Invoicing Rule
Attachments None
Notes

Submit a Dispute
Manage Adjustments
Review Distributions
Duplicate
Post to Ledger
Account in Draft
View Accounting
View Balance Details
View Transaction Activities

EGP Egyptian Pound
-2,000.00
-2,000.00
0.00
0.00
0.00

- Return to the transaction and review the balance

ORACLE
Review Transaction Invoice 13001

Actions View Image Save Incomplete Cancel

General Information Show More

Business Unit PWC_BU
Transaction Source PWC Source
Transaction Type PWC Type
Transaction Number 13001
Document Number
Status Complete

Transaction Date 6/13/26
Accounting Date 6/13/26
Salesperson
Invoicing Rule
Attachments None
Notes

Customer
Bill-to Name PWC
Bill-to Site 138247
Ship-to Name PWC
Ship-to Site 1483839

Payment
Credit Transaction
Submit a Dispute
Manage Adjustments
Review Installments
Review Distributions
Duplicate
Post to Ledger
Account in Draft
View Accounting
View Balance Details
View Transaction Activities

EGP Egyptian Pound
10,000.00
10,000.00
0.00
0.00
0.00

Payment Terms 30 Net
Due Date 7/13/26

Invoice Details
Invoice Lines Sales Credits
View Detach
Line Information Tax Determinants Revenue Scheduling

Balance Details: Invoice 13001

View By Entered Currency (EGP)

Balance Details	Lines	Tax	Freight	Charges	Total
Original Amount	10,000.00	0.00	0.00	0.00	10,000.00
Prepayments	0.00	0.00	0.00	0.00	0.00
Receipts	-10,000.00	0.00	0.00	0.00	-10,000.00
Credits/Refunds	-2,000.00	0.00	0.00	0.00	-2,000.00
Adjustments	0.00	0.00	0.00	0.00	0.00
Bills Receivable	0.00	0.00	0.00	0.00	0.00
Discounts	0.00	0.00	0.00	0.00	0.00
Balance	-2,000.00	0.00	0.00	0.00	-2,000.00

Done

-Issue Customer Refund

-Return to the Receipt and initiate the refund process.

-Search for Receipt

-Edit Apply Amount

-Actions

-More

-Issue Refund

-Enter Refund Details

-Save

-Post to Ledger

ORACLE

Edit Receipt: 147

Actions Save Save and Close Cancel

Receipt Information

Status Remitted

Business Unit PWC_BU

Receipt Type Standard

Receipt Method PWC Remitted

Receipt Number 147

Receivables Specialist

Attachments None

Customer Account Number 134135

Customer Name PWC

Customer Site 138247

Receipt Date 6/13/26

Accounting Date 6/13/26

Comments

Currency EGP Egyptian Pound

Entered Amount 10,000.00

Accounted Amount 10,000.00

Total Applied Amount 8,000.00

On-Account Amount 0.00

Unapplied Amount 2,000.00

Exchange Gain or Loss 0.00

Additional Information

Receipt Details 2,000.00 EGP

Application History Activity

Actions View Detach Add Application Unapply Application Add Open Receivables View Remittance Reference Detail View Exception Trends

Application Type	Application Reference	Amount Due	Applied Amount	Discount	Exception Reason	Application Date	Accounting Date
Transaction	13001	0.00 EGP	8,000.00	0.00		6/13/26	6/13/26

Transaction 13001: Details

Days Late -30

Installment 1

Additional Information

Receipt Details 2,000.00 EGP

Application History Activity

Actions View Detach Add Application Unapply Application Add Open Receivables View Remittance Reference Detail View Exception Trends

Issue Credit Card Refund

Create Credit Card Chargeback

Create On-Account Application

Apply Receipt to Receipt

Issue Refund

Create Write-Off

Reference	Amount Due	Applied Amount	Discount	Exception Reason	Application Date	Accounting Date
	0.00 EGP	8,000.00	0.00		6/13/26	6/13/26

Installment 1

Document Number

Cross-Currency Rate

Exchange Gain or Loss 0.00

Amount Applied Base 8,000.00

Allocated Receipt Amount Base 8,000.00

Balance Due Base 0.00

Maximum Discount 0.00

Issue Refund



Remaining Amount 2,000.00 EGP

Refund Amount 2,000.00 EGP

* Customer Party Name PWC

* Customer Party Number 1141105

* Customer Party Site PWC MADDI 2

* Refund Date 6/13/26

* Accounting Date 6/13/26

* Refund Payment Method Check

Customer Party Bank Account

Delivery Channel

☐ Pay separately

Remittance Message 1

Remittance Message 2

Remittance Message 3

OK Cancel

ORACLE

Edit Receipt: 147

Actions Save Save and Close Cancel

Receipt Information

Status Remitted

Business Unit PWC_BU

Receipt Type Standard

Receipt Method PWC Remitted

Receipt Number 147

Receivables Specialist

Attachments None

Customer Account Number 134135

Customer Name PWC

Customer Site 138247

Receipt Date 6/13/26

Accounting Date 6/13/26

Comments

Currency EGP Egyptian Pound

* Entered Amount 10,000.00

Accounted Amount 10,000.00

Total Applied Amount 8,000.00

On-Account Amount 0.00

Unapplied Amount 2,000.00

Exchange Gain or Loss 0.00

Additional Information

Receipt Details 2,000.00 EGP

Application History Activity

Application Type	* Application Reference	Amount Due	* Applied Amount	Discount	Exception Reason	* Application Date	* Accounting Date
Refund		2,000.00				6/13/26	6/13/26
Transaction	13001	0.00 EGP	8,000.00	0.00		6/13/26	6/13/26

Transaction 13001: Details

ORACLE

Edit Receipt: 147

Actions Save Save and Close Cancel

Receipt Information

Status Remitted

Business Unit PWC_BU

Receipt Type Standard

Receipt Method PWC Remitted

Receipt Number 147

Receivables Specialist

Attachments None

Customer Account Number 134135

Customer Name PWC

Customer Site 138247

Receipt Date 6/13/26

Accounting Date 6/13/26

Comments

Currency Pound

* Entered Amount 2,000.00

Accounted Amount 2,000.00

Total Applied Amount 8,000.00

On-Account Amount 0.00

Unapplied Amount 0.00

Reverse

Delete

Post to Ledger

Account in Draft

View Accounting

Refund Accounting Entry

Accounting Lines: Receipt 147

✕

Ledger PWC EG

Date 6/13/26

Status Final

View



View T-Accounts



Detach

Override Account

Line		Event	Account	Class	Accounted (EGP)	
					Debit	Credit
1	▶	Receipt Created	10-13073-00-10	Remitted cash	10,000.00	
2	▶	Receipt Updated	10-13005-00-10	Receivable	2,000.00	
3	▶	Receipt Created	10-13074-00-10	Unapplied cash	0.00	
4	▶	Receipt Created	10-13005-00-10	Receivable		10,000.00
5	▶	Receipt Updated	10-13078-00-10	Refund		2,000.00
6	▶	Receipt Updated	10-13074-00-10	Unapplied cash		0.00

Done

-The reference number shown is the original invoice sent to **Accounts Payable (AP)**

▶ Additional Information

Receipt Details 0.00 EGP ⓘ

Application History Activity

Actions ▾ View ▾ Detach 🗑️										Add Application	Unapply Application	Add Open Receivables	View Remittance Reference Detail	View Exception Trends
Application Type		* Application Reference		Amount Due	* Applied Amount	Discount	Exception Reason	* Application Date	* Accounting Date					
▶	Refund	1031121			2,000.00			6/13/26	6/13/26					
▶	Transaction	13001	0.00 EGP	8,000.00	0.00			6/13/26	6/13/26					

- Homepage> Payables

- Manage Invoice

-Search for the invoice> Edit

-Post to Ledger>Pay in Full

ORACLE

Search for people and actions

Home Star Print 17 IB

Good evening, ibrahim alaa

◀

Receivables

Collections

Supply Chain Planning

Payables

General Accounting

Intercompany Accour

▶

QUICK ACTIONS

APPS

Create Invoice

Manage Invoices

Show More

Payables Dashboard

Invoices

Payments

+

ORACLE Manage Invoices

Search Results

Search: Invoice

Advanced Saved Search All Invoices

Business Unit

Invoice Number 1031121

Invoice Amount

Invoice Date midyy

Supplier or Party

Supplier Number

Supplier Site

Taxpayer ID

Invoice Group

Search Reset Save...

Actions View

Invoice Number	Invoice Date	Creation Date	Supplier or Party	Supplier Site	Unpaid Amount	Invoice Amount	Applied Prepayments	Invoice Type	Notes	Validation Status	Approval Status	Holds
1031121	6/13/26	6/13/26 3:04 PM	PWC		2,000.00 EGP	2,000.00 EGP	0.00 EGP	Payment requ...		Validated	Not required	

ORACLE Edit Invoice: 1031121

Validated Invoice Actions Save Save and Edit Another Save and Close Cancel

Manage Installments

Calculate Tax Ctrl+Alt+X

Validate Ctrl+Alt+V

Apply or Unapply Prepayments

Manage Holds

Account Coding

Approval

View Approval and Notification History

Cancel Invoice

Delete Invoice

Pay in Full

Post to Ledger

Account in Draft

Invoice Header

Identifying PO

Business Unit PWC_BU

Party PWC

Party Site PWC MADDI

Supplier Site

Legal Entity PWC_LE

Invoice Group

Number 1031121

Amount 2,000.00

Type Payment request

Description

Lines

Taxes

Totals

Items	Freight	Miscellaneous	Retainage	Tax	Withholding	Included Prepayments	Applied Prepayments	Total
2,000.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	2,000.00

Accounting Impact of Invoice Validation.

Accounting Lines: Payment request 1031121

Ledger PWC EG Date 6/13/26 Status Final

View View T-Accounts Detach Override Account

Line	Event	Account	Class	Accounted (EGP)	
				Debit	Credit
1	Invoice Validated	10-13078-00-10	Item expense	2,000.00	
2	Invoice Validated	PWC Company	Liability		2,000.00
		PWC Acconut			
		PWC Cost Centr			
		PWC Intercompany			
	Freight	0.00			
	Tax	0.00			
	Included Prepayments	0.00			

-Pay in Full

. Enter the payment details and click Submit to process the payment

Pay in Full: 1031121 ✕

Payment Amount 2,000.00 EGP

Payment Method Check

* Bank Account PWC Bank Account ▼

* Payment Process Profile Standard Check - All Currency ▼

Remit-to Account ▼

Remit-to Bank Name

Remit-to Branch Name

* Payment Document PWC ▼

* Payment Number 1002

Conversion Rate Type ▼

Conversion Date

Conversion Rate

Document Category

Document Sequence

Voucher Number

Submit

Cancel

 **Confirmation** ✕

Payment 1002 for 2,000.00 EGP has been created.

OK

Payment Accounting Entry

Accounting Lines: Payment 1002 ✕

Ledger PWC EG Date 6/13/26 Status Final

View ▼ 

View T-Accounts   Detach

Override Account

Line		Event	Account	Class	Accounted (EGP)	
					Debit	Credit
1	▶	Payment Created	10-21010-00-10	Liability	2,000.00	
2	▶	Payment Created	10-11015-00-10	Cash clearing		2,000.00

Done